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Independent Accountants' Examination Report

To the Audit Committee and Management
Paxos Trust Company, LLC

Report on Management's Assertion regarding the BUSD Redeemable Tokens and Redemption Assets

Opinion

We have examined management of Paxos Trust Company, LLC's (the Company) assertion on page 3 of the BUSD Redemption Assets Report as of January 21, 2025 and January 31, 2025 at 5:00 PM Eastern Time (the BUSD Redemption Assets Report) regarding the BUSD redeemable tokens outstanding and redemption assets, which includes the criteria used by management of the Company as a basis for the assertion (Management's Assertion).

In our opinion, Management's Assertion is fairly stated, in all material respects.

Basis for opinion

Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants. We are required to be independent and to meet our other ethical requirements in accordance with relevant ethical requirements related to the engagement. We believe that the evidence we have obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

Other matters

Management of the Company has referenced to information on websites throughout the BUSD Redemption Assets Report. The information on these websites has not been subjected to our examination procedures, and accordingly we do not express an opinion, conclusion or any other form of assurance on this information.

Management of the Company is responsible for ensuring the Company's terms related to BUSD token purchases and redemptions and the definitions of purchase and redemption rights applicable as of the report dates continue to be available to support an understanding of the BUSD Redemption Assets Report.

Our opinion is not modified in respect of these matters.

Responsibilities for Management's Assertion

Management of the Company is responsible for Management's Assertion as well as:

- designing, implementing and maintaining internal control relevant to the preparation of Management's Assertion such that it is free from material misstatement, whether due to fraud or error;
- selecting or developing suitable criteria as a basis for Management's Assertion and appropriately referring to or describing the criteria used; and
- fairly stating Management's Assertion.



Our responsibilities

The attestation standards established by the American Institute of Certified Public Accountants require us to:

- plan and perform the examination to obtain reasonable assurance about whether Management's Assertion is fairly stated, in all material respects; and
- express an opinion on Management's Assertion, based on our examination.

We exercised professional judgment and maintained professional skepticism throughout the engagement. We designed and performed our procedures to obtain evidence about Management's Assertion that is sufficient and appropriate to provide a basis for our opinion. The nature, timing, and extent of the procedures selected depended on our judgment, including an assessment of the risks of material misstatement of Management's Assertion, whether due to fraud or error. We identified and assessed the risks of material misstatement through understanding Management's Assertion and the engagement circumstances. We also obtained an understanding of the internal control relevant to Management's Assertion in order to design procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of internal controls.

KPMG LLP

New York, New York
February 28, 2025



BUSD Redemption Assets Report as of January 21, 2025 and January 31, 2025 at 5:00 PM Eastern Time

Background¹

Paxos Trust Company, LLC (the Company or Paxos) is a New York limited purpose trust company. The Company received its trust charter from the New York Department of Financial Services (NYDFS) in 2015 and has been a long-time leader in both crypto asset services and the creation of blockchain technologies for the financial world. As the prudential regulator of companies engaged in virtual currency business activity in New York, NYDFS has requirements, standards, and controls on the stablecoins issued by its regulated entities. This includes guidelines published by the NYDFS in the industry letter dated June 8, 2022,² which applies to entities licensed under 23 NYCRR Part 200 or chartered as limited purpose trust companies under the New York Banking Law that issue U.S. Dollar-backed stablecoins under the supervision of the NYDFS (the NYDFS Guidelines). This BUSD Redemption Assets Report has been prepared by Management of Paxos to fulfill the requirements set out in the NYDFS Guidelines.

Management of Paxos is responsible for the completeness, accuracy, and validity of the BUSD Redemption Assets Report as of January 21, 2025 and January 31, 2025 at 5:00 pm Eastern Time (the Report Dates).

The Glossary on pages 10-11 contains key terms and definitions regarding the items presented in Exhibits A, B and C.

Management's assertion

Management of Paxos asserts that as of January 21, 2025 and January 31, 2025 at 5:00 pm Eastern Time:

- the total redemption assets (Exhibit B) are equal to or greater than total BUSD redeemable tokens outstanding (Exhibit A), as presented in Exhibit C. The criteria we used in making this assertion were that the total redemption assets, which are defined as unencumbered assets held by the Company in segregated accounts on behalf of the BUSD token holders and measured as described in Exhibit B, are equal to or greater than the BUSD redeemable tokens outstanding, which are defined in the Glossary.
- the Company has applied the requirements of Part 2 of the New York Department of Financial Services (NYDFS) industry letter dated June 8, 2022² (NYDFS Guidelines) regarding its redemption assets, as presented in Exhibit B.

¹ Not subject to the Independent Accountants' Examination Report

² https://www.dfs.ny.gov/industry_guidance/industry_letters/il20220608_issuance_stablecoins



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Summary¹

The following summarizes the total BUSD redeemable tokens outstanding and total redemption assets as of the Report Dates, which are disclosed in Exhibits A and B.

Report Dates	January 21, 2025	January 31, 2025
Total BUSD redeemable tokens outstanding (Exhibit A line d)	60,490,548	60,490,548
Total redemption assets in United States Dollar (Exhibit B)	\$60,637,473	\$60,708,689

To the best of the knowledge and belief of the undersigned, the information contained in the BUSD Redemption Assets Report as of the Report Dates at 5:00pm Eastern Time is accurate and complete.

Signed by:


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Adam Ackermann, *Head of Treasury and Portfolio Management*
Paxos Trust Company, LLC

February 28, 2025



Exhibit A: Total BUSD Natively Minted Tokens and Total BUSD Redeemable Tokens Outstanding

The following table summarizes the types of BUSD tokens:

	BUSD Tokens (in quantity of tokens)	Blockchain Ethereum ⁱⁱ	
		January 21, 2025	January 31, 2025
a.	Total BUSD natively minted tokens	60,490,548	60,490,548
b.	Less temporary BUSD nonredeemable tokens	N/A	N/A
	Temporarily access-restricted	N/A	N/A
	Time-locked	N/A	N/A
c.	Less permanent BUSD nonredeemable tokens	N/A	N/A
	Permanently access-restricted	N/A	N/A
	Total BUSD nonredeemable tokens ⁱ	N/A	N/A
d.	Total BUSD redeemable tokens outstanding	60,490,548	60,490,548
i	All BUSD tokens are redeemable. There are no temporary or permanent BUSD nonredeemable tokens		
ii	Blockchain Ethereum refers to the smart contract running on Ethereum at 0x4fabb145d64652a948d72533023f6e7a623c7c53		
NOTE: Refer to the Company’s terms related to BUSD token purchases and redemptions and the definitions of purchase and redemption rights (including which holders have such rights) ³			

The tokens included in this Exhibit A incorporate the BUSD redeemable tokens of Paxos Trust Company, LLC. The BUSD token is a cryptographic token, which allows financial market participants to transact in a crypto asset that has been strictly pegged 1:1 to the U.S. dollar by the Company. BUSD is built on the Ethereum blockchain. As such, the total number of BUSD tokens in circulation is viewable through any publicly available Ethereum block explorer (e.g. Etherscan).

³ <https://www.paxos.com/terms-and-conditions/general-terms-and-conditions> and <https://www.paxos.com/terms-and-conditions/stablecoin-terms-conditions>

**Exhibit B: Composition of Redemption Assets by Asset Type**

The following table summarizes redemption assets by asset type in United States Dollar (USD):

	January 21, 2025	January 31, 2025
Cash	\$936,473	\$936,689
Government money market funds, at net asset value	-	-
Repurchase agreements, at fair value	\$59,701,000	\$59,772,000
Obligations of U.S. Treasury, at fair value	-	-
Total	\$60,637,473	\$60,708,689

The redemption assets included in this Exhibit B relate to the redemption assets supporting the BUSD redeemable tokens reported in Exhibit A.

The Company maintains the redemption assets securing BUSD in segregated accounts that are unencumbered and held on behalf of BUSD token holders in one or more of the following forms: (i) fiat currency held in Federal Deposit Insurance Corporation (FDIC)-insured bank accounts; (ii) (a) investments (including through overcollateralized overnight reverse repurchase agreements) in debt instruments that are expressly guaranteed by the full faith and credit of the United States Government; and/or (b) money-market funds composed of such debt instruments. Amounts backed by debt instruments that are expressly guaranteed by the full faith and credit of the United States Government are subject to market pricing risk.

1. *Cash*

The Company's cash is held at commercial banks and cash held at a specific bank may at times exceed the FDIC limit of \$250,000. As of January 21, 2025 and January 31, 2025, the uninsured FDIC demand deposits at commercial banks totaled \$684,161 and \$686,075 respectively. The Company has obtained excess deposit insurance, in the amount of \$50,000,000, from Paxos Insurance Company Ltd, a captive insurance company for the Company and its affiliates. The following table summarizes cash by type of account, regulatory agency, and geographic location.

Type of Account	Regulatory Agency	Geographic Location	January 21, 2025	January 31, 2025
For the benefit of authorized token holders	Federal Reserve Board	United States	\$936,473	\$936,689
Total			\$936,473	\$936,689

2. *Government Money Market Funds*

Government money market funds hold investments in direct obligations of the Government of the United States and reverse repurchase agreements on such obligations. As of January 21, 2025 and January 31, 2025, the Company held no government money market funds.

3. *Repurchase Agreements, at Fair Value*

Repurchase agreements are agreements with selected commercial banks and broker-dealers, under



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which the Company acquires securities as collateral (debt obligation) subject to an obligation of the counterparty to repurchase and the Company to resell the securities (obligation) at an agreed-upon time and price. The Company, through a custodian or a sub-custodian, receives delivery of the underlying securities collateralizing repurchase agreements. The Company is not permitted to sell or repledge the securities acquired as collateral. Repurchase agreements are exposed to credit and liquidity risk. To manage these risks, the repurchase agreements entered by the Company are overcollateralized such that the fair value of the underlying collateral is greater than the par amount of the repurchase agreement. The Company monitors the fair value of the underlying collateral on a daily basis, with additional securities obtained as collateral as necessary. Since the repurchase agreements mature overnight, the par amount of the repurchase agreement is considered to be equal to fair value as the amount is deemed to be a cash deposit with no risk of change in value as of the end of each day. The following table summarizes the remaining contractual maturity of the agreements by counterparty at fair value:

Repurchase Agreements as of January 21, 2025						
Counterparty	Collateral	Coupon Rate	Purchase Date	Maturity Date	Par	Fair Value
Bank 1 in United States	Obligations of U.S. Treasury	4.25%	1/21/2025	1/22/2025	\$59,701,000	\$59,701,000
Total Repurchase Agreements						\$59,701,000

Repurchase Agreements as of January 31, 2025						
Counterparty	Collateral	Coupon Rate	Purchase Date	Maturity Date	Par	Fair Value
Bank 1 in United States	Obligations of U.S. Treasury	4.32%	1/31/2025	2/3/2025	\$59,772,000	\$59,772,000
Total Repurchase Agreements						\$59,772,000

4. *Obligations of U.S. Treasury*

Obligations of U.S. Treasury are held by a qualified custodian. The Company only holds U.S. Treasury bills that are three months or less from their respective maturities. As of January 21, 2025 and January 31, 2025, the Company held no obligations of U.S. Treasury.



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Exhibit C: Comparison Between the Redemption Assets and the BUSD Redeemable Tokens Outstanding

The following table summarizes the redemption assets and the BUSD redeemable tokens outstanding:

	January 21, 2025	January 31, 2025
Redemption assets	\$60,637,473	\$60,708,689
Less: Amount of BUSD redeemable tokens outstanding ⁱ	60,490,548	60,490,548
Subtotal prior to timing difference	\$146,925	\$218,141
Timing differences:		
BUSD tokens purchased but not yet minted	-	-
BUSD tokens redeemed but not yet paid	-	-
Subtotal prior to temporary difference	\$146,925	\$218,141
Temporary differences: ⁱⁱ		
BUSD access-restricted tokens	N/A	N/A
BUSD time-locked tokens	N/A	N/A
Surplus (Deficit) ⁱⁱⁱ	\$146,925	\$218,141
i The amount of BUSD redeemable tokens outstanding includes requests for purchases and redemptions that have not yet been processed due to timing differences		
ii All BUSD tokens are redeemable. There are no temporary or permanent BUSD nonredeemable tokens		
iii The Company's terms stipulate that for each BUSD redeemable token outstanding there is \$1 available assets for redemption. This surplus indicates that asset-backing levels are in accordance with the Company's terms ³		

The tokens and redemption assets included in this Exhibit C relate to the BUSD redeemable tokens reported in Exhibit A and redemption assets reported in Exhibit B.

**Appendix: General considerations related to Crypto Assets¹**

As of the date of this report, crypto assets remain an evolving area of technology and marketplace activity. Those who choose to invest in crypto assets should inform themselves of the general risks and uncertainties associated with such assets.

(1) Crypto assets are owned anonymously. While the public keys of virtual wallets holding crypto assets reside on the distributed networks and can be viewed publicly, the ownership of the wallets are normally not registered and therefore, anonymous. Ownership of crypto assets is evidenced primarily by the possession of the underlying private key (e.g. passcode). The possessor of the private key controls the corresponding crypto asset wallet.

(2) Risk of irreversible transactions. Transactions for most crypto assets that occur over the blockchain are generally irreversible, even if such transactions occur fraudulently or accidentally. If a private key is lost or fraudulently used, the crypto assets in the corresponding wallet may not be recoverable.

(3) Regulatory uncertainty. Legislative and regulatory changes or actions at the state or federal level may change or affect the use, transfer, exchange, and value of crypto assets. The effects of any such changes are not determinable as of the date of this report.


Glossary: Key terms and definitions regarding the items presented in Exhibits A, B and C¹

NOTE 1: These key terms and definitions are consistent with the AICPA and CIMA Blockchain Universal Glossary, published in 2024

NOTE 2: All BUSD tokens are redeemable. There are no temporary or permanent nonredeemable tokens.

asset-backed tokens. Digital assets that are pegged to the value of other assets (for example, fiat, commodities, or other digital assets).

access-restricted tokens. Tokens associated with wallet addresses that may be temporarily or permanently restricted from redemption or transferring. See **nonredeemable tokens**.

bridged tokens. The application of wrapping a token for use on blockchains for which the tokens were not natively minted by the issuer.

minted tokens (minting). Tokens created by the issuer that reside on a distributed ledger or blockchain network.

natively minted tokens. Tokens that have been minted on in-scope blockchains and that have not been bridged from other blockchains or networks.

nonredeemable tokens. Tokens that cannot be redeemed with the token issuer at the measurement point in time or are otherwise encumbered and not valid for redemption. Nonredeemable tokens may include, but are not limited to, time-locked tokens; pre-minted tokens; test tokens; bridged or wrapped tokens; tokens that have been access-restricted. Tokens can be either temporarily or permanently nonredeemable. See **pre-minted tokens; test tokens; bridged tokens; wrapped tokens; access-restricted tokens**.

pre-minted tokens. Tokens that have been minted by an asset-backed token issuer but not yet issued and are considered nonredeemable. See **asset-backed token; nonredeemable tokens**

redeemable tokens outstanding. The total of natively minted tokens less nonredeemable tokens. Also known as issued tokens that are in circulation. See **nonredeemable tokens**.

test tokens. Minted tokens for which there are no associated redemption assets. These are used for the sole purpose of performing entity-related testing of the system for functionality and are considered nonredeemable. See **nonredeemable tokens**.

time-locked tokens (locked tokens). Tokens that are subject to a restriction mechanism that locks the use of the token for a set time limit. Depending on the use, these tokens may or may not be redeemable.

token quantity (token supply). The number of tokens that have been natively minted on a particular blockchain. See **natively minted tokens**.



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wrapped tokens. Tokens that are separate and distinct tokenized versions of another digital asset. These may be used either on the same blockchain as the original digital asset or on a different blockchain.